**SUPERIOR COURT, STATE OF CALIFORNIA**
**COUNTY OF SANTA CLARA**

**Department 12**
**Honorable Nahal Iravani-Sani, Presiding**
Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

**DATE: 6/26/2026 TIME: 9:00 A.M. and 9:01 A.M.**

Welcome to Department 12. The Court's tentative rulings for the Law & Motion Calendar are below.

**TO CONTEST THE RULING: Before 4:00 p.m. ON THE DAY PRIOR TO THE HEARING, YOU MUST NOTIFY:**

(1) The Court - by calling (408) 808-6856 and
(2) Opposing side - by phone or email that you plan to appear and contest the ruling.

The Court will not hear argument and the tentative ruling will be adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.D.)

**Please indicate the specific issue being contested when calling the Court and counsel**

**IN-PERSON APPEARANCES**: Department 12 is a fully open courtroom conducting in-person hearings on the days it has scheduled matters. The Court strongly encourages in-person appearances for any **contested** law-and-motion matter. If appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not permitted absent exceptional circumstances. (Civil Local Rule 5.B.)

**REMOTE APPEARANCES**: Remote appearance is governed by Civil Local Rule 5 and General Local Rule 9. Department 12 uses UDC as its remote platform.
The Court encourages in-person appearance, but if appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not allowed absent exceptional circumstances. (Civil Local Rule 5.B.)

**TELEPHONIC APPEARANCE IS PROHIBITED**, unless the Court grants an exception. (Civil Local Rule 5.A.) "CourtCall" is no longer available.

**RECORDING IS PROHIBITED**: State and local court rules prohibit recording court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

**COURT REPORTERS ARE NOT PROVIDED**: If any party wishes to have a court reporter, the appropriate forms and process may be found on the court's website https://www.scscourt.org/general_info/court_reporters.shtml.

**SCHEDULING MOTION HEARINGS**: Please reserve your next hearing date using Court Schedule—an online scheduling tool on the Santa Clara County court website.
https://reservations.scscourt.org or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri.) You must then file your motion papers no more than five court days after reserving the hearing date, or the date will be released to other cases.

**FINAL ORDERS:** The prevailing party shall prepare the order unless otherwise ordered. (See California Rule of Court 3.1312.) **Please Note:** Any proposed orders must be submitted with the Judicial Council Form EFS-020 Proposed Order (Cover Sheet). Please include the date, time, department and line number.

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| LINE # | CASE # | CASE TITLE | RULING |
|---|---|---|---|
| LINE 1 | 23CV418929 | Sophie Yeh vs The Harker School et al | Motion to Sever the Cross Complaint<br><br>Please Ctrl Click (or scroll down to) Line 1 |
| LINE 2 | 24CV430597 | Marybeth Lakso et al vs Gary Lynn, MD et al | Motion: Tax Cost<br><br>Please Ctrl Click (or scroll down to) Line 2 |
| LINE 3 | 24CV445767 | Midland Credit Management Inc. vs Gloria Martinez | Motion: Set Aside Default/Judgment<br><br>Good Cause Appearing, the Motion to Set Aside and Vacate Default Judgment and dismiss the instant case without prejudice is granted.<br><br>Plaintiff to prepare the final order, accompanied by the necessary Forms EFS-020, within 7 days of the date of the hearing. |
| LINE 4 | 24CV445982 | JPMorgan Chase Bank, N.A. vs Fatima Luna Esquivel | OFF CALENDAR |
| LINE 5 | 25CV465047 | Discover Bank vs Rafael Jauregui-Luna | Motion: Summary Judgment/Adjudication<br><br>The Court has received no opposition from Defendant. "[T]he failure to file an opposition creates an inference that the motion or demurrer is meritorious." (Sexton v. Superior Court (1997) 58 Cal.App.4th 1403, 1410.)<br><br>Good Cause Appearing, Plaintiff's motion is granted.<br><br>Plaintiff to prepare the final order, accompanied by the necessary Form EFS-020, within 7 days of the date of the hearing. |
| LINE 6 | 25CV475161 | Darlene Garza et al vs Ford Motor Company et al | Hearing: Petition Compel Arbitration<br><br>Please Ctrl Click (or scroll down to) Line 6 |
| LINE 7 | 25CV478294 | Viking Insurance Company of Wisconsin, a corporation vs Joe Bento et al | Hearing: Demurrer<br><br>Off Calendar per dismissal filed 6/15/26 |

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|---|---|---|---|
| LINE 8 | 26CV483689 | Silicon Valley Taxpayers Association, Inc. Et al vs County of Santa Clara | Demurrer<br><br>Please Ctrl Click (or scroll down to) Line 8 |
| LINE 9 | 26CV485647 | Orchard Yield Funds, LLC vs Park Capital Management, LLC | Motion to Expel Respondent<br><br>Please Ctrl Click (or scroll down to) Line 9 |

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**Calendar Line 1**
**Case Name:** ***Sophie Yeh v. The Harker School, et al.***
**Case No.:** **23CV418929**

**PLAINTIFF'S MOTION TO SEVER**

Plaintiff moves to sever Defendant The Harker School's ("THS") cross-complaint against Commercial Tree Care ("CTC") pursuant to Code of Civil Procedure sections 1048 and 598. The motion is denied as to severance, but granted in part as to bifurcation of trial issues.

Code of Civil Procedure section 1048, subdivision (b), authorizes the Court to order separate trials of claims or issues "in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy." Section 598 similarly permits the Court to order the sequence of trial issues where necessary to promote convenience, judicial economy, or the ends of justice. These provisions confer broad discretion to structure trial proceedings involving overlapping claims. (See *Omaha Indemnity Co. v. Superior Court* (1989) 209 Cal.App.3d 1266; *Grappo v. Coventry Fin. Corp.* (1991) 235 Cal.App.3d 496; *Pilliod v. Monsanto Co.* (2021) 67 Cal.App.5th 591.)

Here, Plaintiff's complaint and THS's cross-complaint arise from a single occurrence—the March 21, 2023 tree failure incident—and involve overlapping factual questions concerning the condition of the subject tree, inspection practices, and the scope and adequacy of Commercial Tree Care's involvement. The Court previously permitted the filing of the cross-complaint and continued trial, recognizing that the claims arise from common operative facts and that a single proceeding would promote efficiency and avoid duplication of testimony.

The Court finds that complete severance is not warranted. The claims share substantial factual overlap, including witnesses and evidence concerning inspection, maintenance, and tree risk assessment. Severance would result in duplication of evidence, inconsistent presentation of overlapping issues, and inefficiency contrary to the purposes of sections 1048 and 598.

However, the Court is persuaded that limited bifurcation is appropriate to reduce the risk of juror confusion and to ensure orderly presentation of issues. Although evidence of CTC's conduct will necessarily be relevant to Plaintiff's negligence theory against THS, the distinct nature of THS's indemnity, contribution, and contract-based claims against CTC warrants separation of those issues from Plaintiff's claims for trial management purposes.

Accordingly, the Court orders as follows pursuant to Code of Civil Procedure section 598:

1. Phase One**:** Trial of Plaintiff's claims against THS, including liability and damages; and
2. Phase Two (if necessary): Trial of THS's cross-claims against CTC for indemnity, contribution, breach of contract, negligence, and related relief.

This structure allows Plaintiff's claims to be presented without the added complexity of defendant-versus-defendant allocation and contract issues, while preserving THS's ability to fully litigate its cross-claims in a subsequent phase if required.

The Court finds this approach best balances judicial economy, avoidance of prejudice, and orderly presentation of issues to the jury.

The motion is therefore DENIED as to severance and GRANTED IN PART as to bifurcation in the manner stated above.

Defendant to prepare the final proposed order, accompanied by the necessary EFS-020 Form, within 7 days of the hearing.

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**Calendar Line 2**
**Case Name:** ***Marybeth Lakso v. The Estate of Gary Lynn, et al.***
**Case No. 24CV430597**

**PLAINTIFF'S MOTION TO TAX COSTS**

Defendants are prevailing parties following entry of summary judgment and are entitled to recover allowable costs under Code of Civil Procedure section 1032. The Court previously found Defendants' Code of Civil Procedure section 998 offers valid. The remaining issue concerns the amount of expert witness fees recoverable under Code of Civil Procedure section 998(c)(1).

Expert witness fees are recoverable only to the extent they were actually incurred and reasonably necessary to the litigation. Once Plaintiff raised specific objections regarding duplication, overlap, and lack of task-level allocation, Defendants bore the burden of providing sufficient evidence to permit meaningful judicial evaluation of reasonableness and necessity.

While Defendants have submitted billing summaries and declarations, the record does not adequately distinguish (1) the allocation of expert work among overlapping experts, or (2) the extent to which expert work was tied to issues remaining in dispute following the June 6, 2025 stipulation by the co-defendant physician. The Court does not find the expert work categorically unnecessary, but the evidentiary showing is insufficient to support full recovery of the amounts claimed.

Accordingly, the Court exercises its discretion under section 998(c)(1) to reduce the claimed expert witness fees as follows:

1. Orthopedic Experts (Atkin and Bray)

Plaintiff's objections regarding causation-focused testimony and limited demonstrated necessity are well-taken in part. However, the Court does not find the services entirely outside the scope of reasonable trial preparation.

Reduction methodology: 50% reduction of combined fees.

- Claimed: $61,325.00
- Allowed: $30,662.50

2. Administrative Experts (Coleman and Lahana)

The record demonstrates substantial overlap in subject matter, materials reviewed, and deposition preparation. Defendants have not adequately distinguished the necessity of retaining two similarly situated administrative experts at full rates.

Allocation methodology:

- Allow Coleman in full (as primary expert)

- Reduce Lahana by 75% for duplication/overlap
- Coleman claimed: $15,680.00 → Allowed: $15,680.00
- Lahana claimed: $37,683.00 → Allowed: $9,420.75

3. Neuropsychology Expert (Thaler)

The objection does not establish that the corrected fee is unreasonable or unnecessary on this record.

- Claimed/Corrected: $9,200.00
- Allowed: $9,200.00

4. Resulting Expert Fee Award

- Orthopedic experts: $30,662.50
- Coleman: $15,680.00
- Lahana: $9,420.75
- Thaler: $9,200.00

TOTAL ALLOWED EXPERT WITNESS FEES: $64,963.25

5. General Findings

The Court notes Defendants were not required to maintain ideal billing records, but the lack of task-level allocation materially limits the Court's ability to fully credit the amount sought, and this uncertainty is appropriately resolved by reduction rather than denial where expert services were clearly utilized in the litigation.

The Court further notes that its ruling is grounded primarily in the statutory requirement of reasonableness under section 998(c)(1), not in any punitive or equitable adjustment. Accordingly,

Plaintiff's Motion to Tax Costs is GRANTED IN PART consistent with the reductions above and otherwise DENIED. Defendants are awarded expert witness fees in the total amount of $64,963.25, plus remaining allowable costs.

Defendant to prepare the final order, accompanied by the necessary Form EFS-020, within 7 days of the hearing.

**- oo0oo -**

**Calendar Line 6**
**Case Name:** *Darlene Garza et al. v. Ford Motor Company et al.*
**Case No.:** 25CV475161

**PETITION TO COMPEL ARBITRATION**

Plaintiffs Darlene Garza and David Ruben Garza ("Plaintiffs") purchased a 2019 Ford Edge ("Subject Vehicle") in April 2021 from Lithia Ford Lincoln of Fresno ("Dealership"). (Complaint at ¶ 7.) Plaintiffs delivered the Subject Vehicle to Dealership for substantial repair on at least one occasion. (*Id.* at ¶ 47.) Plaintiffs allege that Dealership "breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards." (*Id.* at ¶ 49.) Plaintiffs sued Dealership and Ford Motor Company in September 2025. The sole cause of action alleged against Dealership is for negligent repair.

At issue is Dealership's petition to compel arbitration, based on the Retail Installment Sales Contract ("RISC") signed by Plaintiffs and Dealership when Plaintiffs purchased the Subject Vehicle. Having reviewed the language of the RISC's arbitration provision and the circumstances of its execution, the court will grant the petition and stay the action.

**LEGAL STANDARD**

Dealership maintains that the Federal Arbitration Act ("FAA") governs the arbitration provision based on the language itself and because the agreement affects interstate commerce. (Mtn. to Compel Arbitration at pp. 6:21-7:1.) The arbitration provision states "[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.) and not by any state law concerning arbitration." (Declaration of Trina Clayton ["Clayton Decl."], Ex. A at p. 7.) Under the FAA, the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Code of Civil Procedure section 1281.2 provides: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement."

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

**ANALYSIS**

**There is a Valid Agreement to Arbitrate**

The arbitration provision in the RISC provides, in relevant part:

> Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.

(Clayton Decl., Ex. A at p. 7.) Plaintiffs do not dispute that they signed the RISC when they purchased the Subject Vehicle. Plaintiffs signed and acknowledged the following notice of the arbitration provision: "**Agreement to Arbitrate**. By signing below, you agree that pursuant to the Arbitration Provision on page 7 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate." (*Id.* at p. 1.) The RISC further drew the arbitration provision to Plaintiffs' attention through the following disclaimer: ". . . YOU ACKNOWLEDGE THAT YOU HAVE READ BOTH SIDES OF THIS CONTRACT, INCLUDING THE ARBITRATION PROVISION ON PAGE 7 OF THIS CONTRACT, BEFORE SIGNING BELOW." (*Id.* at p. 6.) Plaintiffs' signatures on those sections of the RISC indicates express assent to the arbitration provision. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [" ' "A party's acceptance of an agreement to arbitrate may be express, as where a party signs the agreement." ' "].)

Plaintiffs argue Dealership failed to properly authenticate the RISC and thus failed to meet its burden of proving the existence of a valid agreement to arbitrate. "The moving party 'can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature. Alternatively, the moving party can meet is burden by setting forth the agreement's provisions in the motion.' " (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted.) Here, Dealership attached a copy of the RISC signed by Plaintiffs as Exhibit A to the Declaration of Trina Clayton. Dealership has also set forth the terms of the arbitration provision in the motion itself. (Mtn. to Compel Arbitration at pp. 3:17-4:9.) In any event, "[f]or purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication." (*Gamboa, supra,* 72 Cal.App.5th at pp. 165-166.) Dealership has shown a valid agreement to arbitrate.

**The Scope of the Arbitration Agreement Covers Plaintiff's Claims**

Here, the arbitration provision broadly applies to "[a]ny claim or dispute, whether in contract, tort, statute or otherwise…, between you and us…, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship." (Clayton Decl., Ex. A at p. 7.) Plaintiffs' sole cause of action against Dealership is a tort action for negligent repair. Plaintiffs and Dealership are the parties to the transaction. Plaintiffs' action relates to the condition of the vehicle, namely the condition of the vehicle following repair by Dealership. That the allegedly negligent repair occurred after the parties signed the RISC is ultimately irrelevant because the arbitration provision states it applies to both "this contract" and "any resulting transaction or relationship" between the parties. Plaintiffs' claim against Dealership is covered by the arbitration provision.

Plaintiffs rely on *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 to argue "warranty performance is not arbitrable through the form Sales Contract proffered by [Dealership]." (Opposition at p. 2:8-10.) That opinion is distinguishable. *Ford Motor Warranty Cases* involved an attempt by an automobile manufacturer to compel arbitration based on a sales contract between a buyer and a dealership to which the manufacturer was not a party. The Supreme Court rejected the manufacturer's attempt to compel arbitration on a third party equitable estoppel theory. (*Id.* at p. 1126.) By contrast, here the entity petitioning to compel arbitration is a party to the contract containing the arbitration provision. The RISC is an agreement Plaintiffs entered into with Dealership. As the dealership and a party to the agreement, Dealership may compel arbitration of Plaintiffs' claims.

The court does not reach Dealership's arguments about lack of waiver and lack of unconscionability. Plaintiffs forfeited any argument about waiver and unconscionability by not addressing Dealership's arguments on those points.

**This Action is Stayed in its Entirety**

Dealership requests a stay of the entire action. As Dealership notes, Plaintiffs have sued two entities, Ford Motor Company and Dealership, for different causes of action. Dealership argues "[p]roceeding against both defendants in separate forums carries an extremely high risk of rendering inconsistent rulings and rendering arbitration as to [Dealership] ineffective." (Reply at p. 8:24-25.) Plaintiffs have not offered any arguments opposing a stay to the entire action. A stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. The court STAYS this action in its entirety pending the outcome of arbitration.

**CONCLUSION**

The petition to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The court will prepare the order.

**- oo0oo -**

**Calendar Line 8**
**Case Name:** *Silicon Valley Taxpayers Association, Inc., et al. v. County of Santa Clara, et al.*
**Case No.:** 26-CV-483689

**DEMURRER**

**Factual and Procedural Background**

This is a reverse validation action filed by plaintiffs Silicon Valley Taxpayers Association, Inc., Libertarian Party of Santa Clara County, Rhonda Richards, Kennita Watson, and David H. Wolen (collectively, "Plaintiffs") against defendants County of Santa Clara ("County") and other interested persons in the matter of Measure A (collectively, "Defendants").

According to the first amended complaint ("FAC"), in 2023, the County sought special legislation, Senate Bill 335 ("SB 335"), to enable a new transactions and use tax in the County at a rate of up to 0.625 percent. (FAC at ¶ 26.) On October 7, 2023, Governor Gavin Newsom signed SB 335. (Ibid.) The Legislative Counsel's Digest outlined:

> "This bill would authorize the County of Santa Clara to impose a transactions and use tax for general or specific purposes at a rate of no more than 0.625% that, in combination with other transactions and use taxes, would exceed the above-described combined rate limit of 2%, if the county adopts an ordinance proposing the tax and the ordinance proposing the tax is approved by the voters, subject to applicable voter approval requirements, as specified. The bill would specify that a transactions and use tax established pursuant to its provisions would not be considered for purposes of the 2% combined rate limitation. The bill would repeal this authorization on December 31, 2028, if an ordinance proposing the tax has not been approved by that date." (Ibid.)

In August 2025, the County Registrar of Voters designated Measure A on the November 4, 2025 ballot. (FAC at ¶ 27.) On December 9, 2025, the County Board of Supervisors ("County Board") declared the results of the Measure A election: the voters passed Measure A by a majority vote. (Id. at ¶ 28.)

When the 2025 Measure A transactions and use tax (0.625 percent) took effect on April 1, 2026, the base "sales tax" rate in the County became 9.75 percent. (FAC at ¶ 32.) When city-level transactions and use taxes are added, the total "sales tax" rates become 10.5 percent in Campbell, 10.0 percent in San Jose and Milpitas, and 9.875 percent in Los Gatos. (Ibid.)

Plaintiffs allege Measure A is an invalid tax because Revenue and Taxation Code section 7292.4 is an unconstitutional "local" or "special" statute as applied to the County, in violation of article IV, section 16 of the California Constitution. (FAC at ¶ 2.) The "sales tax" rate in the County otherwise exceed the limits of local transactions and use taxes set by Revenue and Taxation Code sections 7251.1, 7285.3, and 7285.92. (Ibid.)

Plaintiffs also allege Measure A is an invalid tax because the County Board of Supervisors ("County Board") did not consolidate the Measure A election with a regularly scheduled general election for members of the County Board, in violation of article XIII C, section 2, subdivision (b) of the California Constitution. (FAC at ¶ 3.)

Therefore, Plaintiffs allege Measure should be invalidated and/or declared void. (FAC at ¶ 4.)

On April 27, 2026, Plaintiffs filed the operative FAC against Defendants alleging causes of action for:

(1) To Invalidate Tax;
(2) Declaratory and Injunctive Relief;
(3) Declaratory and Injunctive Relief;
(4) To Invalidate Tax;
(5) Declaratory and Injunctive Relief; and
(6) Declaratory and Injunctive Relief.

On May 14, 2026, the County filed the motion presently before the court, a demurrer to the FAC. Plaintiffs filed written oppositions. The County filed reply papers. Both sides filed requests for judicial notice.

A case management conference is also scheduled for June 26, 2026.

**Demurrer to the FAC**

The County argues each cause of action in the FAC is subject to demurrer for failure to state a valid claim. (Code Civ. Proc., § 430.10, subd. (e).)

**County's Request for Judicial Notice**

"Judicial notice is the recognition and acceptance by the court, for use by the trier of fact or by the court, of the existence of a matter of law or fact that is relevant to an issue in the action without requiring formal proof of the matter." (*Poseidon Development, Inc. v. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1117.)

The County requests judicial notice of certain court records in a different action and legislative facts before the County. (See Request for Judicial Notice ["RJN"] at Exs. A-G.) For purposes of this demurrer, the court relies only on Exhibit D, which Plaintiffs objected to in their opposition. The objection lacks merit given that the portion of Exhibit D referenced by the court is also mentioned in the FAC and thus relied upon by Plaintiffs. Exhibit D is a proper subject of judicial notice under Evidence Code section 452, subdivisions (b) and (c). The court declines to take judicial notice of the remaining exhibits as they are not relevant to resolving issues raised by the demurrer for reasons explained below. (See *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [a court need not take judicial notice of a matter unless it "is necessary, helpful, or relevant"].)

Accordingly, the request for judicial notice is GRANTED as to Exhibit D. The request for judicial notice is DENIED as to Exhibits A-C, E-G.

**Plaintiffs' Request for Judicial Notice**

Plaintiffs' request for judicial notice of Statutes of 2023, Chapter 391 (SB 335) is DENIED as it is not relevant to resolving issues raised by the demurrer for reasons articulated below.

**Reverse Validation Actions Generally**

"Code of Civil Procedure sections 860 through 870 provide for validation actions. Validation actions ' "provide an expedited process by which certain public agency actions may be determined valid and not subject to attack." [Citations.] The validation statutes apply to a matter when "any other law" authorizes their application, and the statutes provide for a 60-day period during which an action may be brought to "determine the validity of such matter." [Citations.]' [Citation.]" (*Wolstoncroft v. County of Yolo* (2021) 68 Cal.App.5th 327, 337 (*Wolstoncroft*).)

"When a public agency does not bring a validation action and an interested person challenges the validity of the governmental act, the lawsuit is called a reverse validation action. [Citations.]" (*Wolstoncroft, supra,* 68 Cal.App.5th at p. 337.) To this end, Code of Civil Procedure section 863 states:

> "If no proceedings have been brought by the public agency pursuant to this chapter, any interested person may bring an action within the time and in the court specified by Section 860 to determine the validity of such matter. The public agency shall be a defendant and shall be served with the summons and complaint in the action in the manner provided by law for the service of a summons in a civil action. In any such action the summons shall be in the form prescribed in Section 861.1 except that in addition to being directed to 'all persons interested in the matter of [specifying the matter],' it shall also be directed to the public agency. If the interested person bringing such action fails to complete the publication and such other notice as may be prescribed by the court in accordance with Section 861 and to file proof thereof in the action within 60 days from the filing of his complaint, the action shall be forthwith dismissed on the motion of the public agency unless good cause for such failure is shown by the interested person." (Code Civ. Proc., § 863.)

**Failure to State a Cause of Action**

<u>Law</u>

" 'The absence of any allegation essential to a cause of action renders it vulnerable to a general demurrer. A ruling on a general demurrer is thus a method of deciding the merits of the cause of action on assumed facts without a trial.' [Citation.] 'Conversely, a general demurrer will be overruled if the complaint contains allegations of every fact essential to the statement of a cause of action, regardless of mistaken theory or imperfections of form that make it subject to special demurrer.' [Citation.]" (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 291-292 (*Morris*).)

"A complaint, with certain exceptions, need only contain a 'statement of the facts constituting the cause of action, in ordinary and concise language' [citation] and will be upheld ' "so long

as [it] gives notice of the issues sufficient to enable preparation of a defense."
'  [Citation.]  '[T]o withstand a demurrer, a complaint must allege ultimate facts, not evidentiary facts or conclusions of law.'  [Citation.]"  (*Morris, supra,* 78 Cal.App.5th at p. 292.)

<u>First Cause of Action: To Invalidate Tax</u>

As to the first cause of action, Plaintiffs allege:

- SB 335 (2023) is unconstitutional under the California Constitution, article IV, section 16, as it applies to November 2025 County Measure A because three general statutes, Revenue & Tax Code sections 7251.1, 7285.3, and 7285.92 are applicable.
- There is not a rational relationship between the purpose of the enactment of SB 335 and the singling out of the County from the statewide local transactions and use tax cap in Sections 7251.1, 7285.3, and/or 7285.92.
- The Legislature articulated no natural, intrinsic, or constitutional distinction in the text of SB 335 or in the legislative history of SB 335 concerning the County that justifies its disparate treatment.
- In SB 335, the Legislature failed to provide any finding, explanation, or other evidence of a rational relationship between "unique fiscal pressures" and the singling out of the County from the transactions and use tax limit in Sections 7251.1 and 7285.3.
- The Legislature failed to make a finding of statewide interest in SB 335.
- The County's purported "unique fiscal pressures" are not a "state fiscal issue."
- In SB 335, the Legislature failed to provide any finding or explanation as to how any "fiscal pressures" being experienced in the County are "unique" to the County.
- SB 335 is unconstitutional under California Constitution, article IV, section 16, because it contains no time limitation or sunset clause for the duration of any tax imposed pursuant to SB 335.  (FAC at ¶¶ 42, 50, 59, 60, 64, 65, 67, 70, 72, 73.)

"[W]hile a legislative classification is improper if it is not founded upon some natural, constitutional or intrinsic distinction which reasonably justifies a difference in treatment, a classification which has a substantial relation to a legitimate object to be accomplished is valid. If any state of facts can reasonably be conceived which would sustain a statutory classification, there is a presumption that this state of facts exists and the burden of demonstrating arbitrariness rests upon the party who assails the classification."  (*Board of Education v. Watson* (1966) 63 Cal.2d 829, 833.)

"It is well settled that [California Constitution,] article IV, section 16 does not prohibit the Legislature from enacting statutes that are applicable solely to a particular county or local entity.  [Citations.]  …  In determining whether 'a general statute can be made applicable,' the issue is not whether the Legislature could conceivably enact a similar statute affecting every locality.  [Citation.]  Rather, it is whether 'there is a rational relationship between the purpose of the enactment … and the singling out of [a single] … county affected by the statute.' [Citations.]  The Legislature's determination that this rational relationship exists is entitled to great weight and will not be reversed unless the determination is arbitrary and without any conceivable factual or legal basis." (*White v. State of California* (2001) 88 Cal.App.4th 298, 305 (*White*).)

The crux of Plaintiffs' allegations are essentially that: (1) there is no rational relationship between the purpose of the enactment of SB 335 and the singling out of the County from statewide local transactions and use tax cap in Revenue & Tax Code sections 7251.1, 7285.3, and/or 7285.92; (2) the Legislature could not enact SB 335 because it was not founded on a natural, intrinsic, or constitutional distinction; and (3) the County's purported "unique fiscal pressures" are not a "state fiscal issue." But, in *Alameda County Taxpayers' Association v. County of Alameda* (2025) 108 Cal.App.5th 524 (*Alameda*), a recent decision from the First Appellate District, the appellate court affirmed the sustaining of a demurrer by the trial court finding that unique fiscal pressures could justify the bills at issue in that case. The Court of Appeal stating in relevant part:

> "In both bills, the Legislature found 'unique fiscal pressures' in the specified localities warranted the exemptions from the state sales tax cap. Authorizing additional taxes for certain localities is rationally related to the purpose of alleviating unique fiscal pressures in those localities. That the Legislature did not identify the fiscal pressures, as the Association complains, is of no moment: the relevant analysis is whether 'any state of facts can reasonably be conceived which would sustain a statutory classification.' [Citation.] The Association also argues the fact that the bills identify more than one locality means the localities cannot be unique. The Legislature could reasonably determine that certain localities face fiscal pressures not faced by the state's remaining localities." (*Alameda, supra,* 108 Cal.App.5th at p. 538.)

Similarly, Section 3 of SB 335 provides:

> "The Legislature finds and declares that a special statute is necessary and that a general statute cannot be made applicable within the meaning of Section 16 of Article IV of the California Constitution because of the unique fiscal pressures being experienced in the Counties of Santa Clara and Ventura in providing essential programs." (FAC at ¶ 26.)

Like the *Alameda* Court, this court also finds the Legislature has identified a reasonable and rational basis for the need to enact legislation directed to the County. (*Alameda, supra,* 108 Cal.App.5th at p. 538.) Furthermore, the Legislature has the authority to determine the best method for resolving state fiscal issues, and it is not for the court to second-guess its determination. (*White, supra,* 88 Cal.App.4th at p. 307.)

In opposition, Plaintiffs contend *Alameda* was wrongly decided and urge the court to rely on *White v. Church* (1986) 185 Cal.App.3d 627 (*Church*), an earlier decision from the First Appellate District. In support, Plaintiffs direct the court to the following excerpt from *Church* which provides "[f]or 137 years the California Constitution has provided that a local or special statute is invalid in any case if a general statute can be made applicable." (*Church, supra,* 185 Cal.App.3d at p. 630.) But, the court does not find *Church* to be compelling or inconsistent with *Alameda*. Nor is the court persuaded by the other authorities cited in the opposition or Plaintiffs' attempt to distinguish *Alameda* from the instant case. Instead, this court concludes that *Alameda* is instructive and remains good law in California to dispose of the first cause of action on demurrer.

As the demurrer is sustainable on this ground, Plaintiffs, in opposition, request further leave to amend. While it is not clear if Plaintiffs will be able to amend to state a cause of action, the court will afford them an opportunity to file an amended pleading. (See *City of Stockton v. Super. Ct.* (2007) 42 Cal.4th 730, 747 [if the plaintiff has not had an opportunity to amend the pleading in response to a motion challenging the sufficiency of the allegations, leave to amend is liberally allowed as a matter of fairness, unless the pleading shows on its face that it is incapable of amendment].)

Consequently, the demurrer to the first cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

<u>Second Cause of Action: Declaratory and Injunctive Relief</u>

In the second cause of action, Plaintiffs allege an actual controversy has arisen concerning the constitutionality of Revenue and Taxation Code section 7292.4 as applied to the County and Measure A on the November 4, 2025 ballot. (FAC at ¶ 80.) Plaintiffs allege that section 7292.4 is an unconstitutional "special" or "local" statute in violation of the California Constitution, article IV, section 16. (Ibid.)

Here, the County's arguments on demurrer to the second cause of action are the same as those raised to the first cause of action. Thus, the demurrer to the second cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for reasons articulated in the court's ruling on the demurrer to the first cause of action.

<u>Third Cause of Action: Declaratory and Injunctive Relief</u>

In the third cause of action, Plaintiffs allege an actual controversy has arisen concerning the compliance of County 2025 Measure A with Revenue and Taxation Code sections 7251.1, 7285.3, and 7285.92. (FAC at ¶ 86.)

Here, the County's arguments on demurrer to the third cause of action are the same as those raised to the first cause of action. Therefore, the demurrer to the third cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for reasons articulated in the court's ruling on the demurrer to the first cause of action.

<u>Fourth Cause of Action: To Invalidate Tax</u>

In the fourth cause of action, Plaintiffs allege Measure A's placement on the November 4, 2025 ballot was unconstitutional in violation of Article XIII C (Proposition 218).

The California Constitution, article XIII C, section 2(b) states:

> No local government may impose, extend, or increase any general tax unless and until that tax is submitted to the electorate and approved by a majority vote. A general tax shall not be deemed to have been increased if it is imposed at a rate not higher than the maximum rate so approved. The election required by this subdivision shall be

> consolidated with a regularly scheduled general election for members of the governing body of the local government, **except in cases of emergency declared by a unanimous vote of the governing body**. (FAC at ¶ 92, emphasis added.)

Here, Plaintiffs allege the County Board's placement of Measure A on the November 2025 special election ballot violated the mandatory constitutional requirement to consolidate the Measure A general tax election with a regularly scheduled general election for members of the County Board. (FAC at ¶ 97.) As stated above, an exception applies where an emergency is declared by a unanimous vote of the governing body. According to the FAC, at a special meeting on August 7, 2025, the County Board adopted a "Resolution of the Board of Supervisors of the County of Santa Clara Declaring an Emergency Under Proposition 218 and Authorizing a Special Election" that included the following:

> BE IT RESOLVED that the Board of Supervisors of the County of Santa Clara hereby finds facts constituting an emergency under section 2 of Article XIIC of the California Constitution, including but not limited to the facts reflected in the recitals above and those findings recited in Section 1 of the Urgency Ordinance Implementing a Five-Year General Retail Transactions (Sales) and Use Tax in Santa Clara County at The Rate of Five-Eighths of One Cent, considered concurrently with this Resolution, as well as the legislative file and materials presented by County Administration at the August 7, 2025 meeting of the Board of Supervisors to consider adoption of this resolution. (Id. at ¶ 94; County's RJN at Ex. D.)

Plaintiffs allege the County's Board declaration of "emergency" by resolution at the August 7, 2025 special meeting is not a legally sufficient "case of emergency" under California Constitution, article XIII C, section 2(b). (FAC at ¶ 98.)

A plaintiff is required to carry the burden of proof regarding the invalidity of an ordinance where it is an essential element of its claim for relief. (*Sonoma County Organization etc. Employees v. County of Sonoma* (1991) 1 Cal.App.4th 267, 275 (*Sonoma County*).) "This reflects the long-standing rule that '[i]n passing on the validity of an ordinance … it will be presumed that it is valid. He who would claim that it is invalid must assume the burden of showing its invalidity.' [Citation.] That burden includes surmounting all possible intendments, presumptions, and reasonable doubts indulged in favor of the Ordinance's validity. [Citations.]" (*Ibid.*)

Also, "[i]n the absence of evidence to the contrary it will be assumed that a municipal legislative body in enacting an emergency ordinance acted on sufficient inquiry as to whether an emergency existed. Its declaration is prima facie evidence of the fact. Where the facts constituting the emergency or urgency are recited in the ordinance and are such that they may reasonably be held to constitute an emergency, the courts will not interfere, and they will not undertake to determine the truth of the recited facts.' [Citation.]" (*Northgate P'ship v. City of Sacramento* (1984) 155 Cal.App.3d 65, 69 (*Northgate*).)

The County points out on demurrer that neither Article XIII C nor the Proposition 218 Omnibus Implementation Act, as codified at Government Code section 53750 et seq., define the term "emergency." Without such guidance, the parties here present competing definitions for "emergency" in support of their respective positions. On the one hand, the County, relying on *Sonoma County*, defines an emergency as either: (1) "an unforeseen situation calling for immediate action"; or (2) "an imminent and substantial threat to public health or safety." (*Sonoma County, supra,* 1 Cal.App.4th at pp. 276-277.) These definitions are persuasive given that the Court of Appeal in *Sonoma County* also addressed a statute which omitted a definition for "emergency." (*Id*. at p. 276 ["Just what shall constitute an emergency is left unexplained by the MMBA."].) By contrast, Plaintiffs, in opposition and the FAC, direct the court to a number of statutes with varying definitions of an emergency. Plaintiffs contend the definition outlined under Public Contract Code section 1102 is instructive (see FAC at ¶ 105) as it provides:

> " 'Emergency,' as used in this code, means a sudden, unexpected occurrence that poses a clear and imminent danger, requiring immediate action to prevent or mitigate the loss or impairment of life, health, property, or essential public services." (Pub. Contract Code, § 1102.)

But, regardless of the definition, the declaration itself is prima evidence of the fact that an emergency exists. (*Northgate, supra,* 155 Cal.App.3d at p. 69.) *Northgate* however suggests that an opposing party can submit evidence negating the existence of an emergency. This action is currently at the pleading stage so the court is not yet in a position to evaluate such evidence as the demurrer considers only well-pleaded allegations of the complaint and judicially noticed materials. (See *Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078 ["a demurrer accepts as true all well-pleaded facts and those facts of which the court can take judicial notice"].) Nor does *Sonoma County* (addressing petition for writ of mandate) or *Northgate* (considering a motion for summary judgment), relied upon heavily by the County, articulate the appropriate level of pleaded facts necessary to negate the existence of an emergency. At a minimum, Plaintiffs should allege facts that in some fashion demonstrate that the alleged emergency offered in support of Measure A does not constitute either: (1) "an unforeseen situation calling for immediate action"; or (2) "an imminent and substantial threat to public health or safety." Such facts do not exist in the operative pleading but Plaintiffs will be given an opportunity for leave to amend as they have requested in opposition.

Accordingly, the demurrer to the fourth cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

Fifth Cause of Action: Declaratory and Injunctive Relief

In the fifth cause of action, Plaintiffs allege an actual controversy has arisen regarding whether Measure A, which would impose a general tax, was properly placed on the November 4, 2025 special election ballot. (FAC at ¶ 122.)

Here, the County's arguments on demurrer to the fifth cause of action are the same as those raised to the fourth cause of action. Therefore, the demurrer to the fifth cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for reasons articulated in the court's ruling on the demurrer to the fourth cause of action.

Sixth Cause of Action: Declaratory and Injunctive Relief

In the sixth cause of action, Plaintiffs allege an actual controversy has arisen regarding whether County Ordinance No. NS-7.23, An Urgency Ordinance Implementing A Five-Year General

Retail Transactions (Sales) and Use Tax In Santa Clara County At The Rate Of Five-Eighths Of One Cent, is a proper “urgency” ordinance. (FAC at ¶ 126.)

The sixth cause of action fails on the ground that it is untimely as it challenges the validity of the ordinance and was filed after the 60-day deadline to bring such actions. (See Rev. & Tax Code, § 7270.5; see also *Friedland v. City of Long Beach* (1998) 62 Cal.App.4th 835, 846-847 [“We hold that as to matters which have been or which could have been adjudicated in a validation action, such matters –including constitutional challenges – must be raised within the statutory limitations period in section 860 et seq. or they are waived.”].)

The sixth cause of action fails to state a valid claim for relief under the California Constitution, Elections Code section 9141 and the California Court of Appeal decision in *Lindelli v. Town of San Anselmo* (2003) 111 Cal.App.4th 1099. And, like the fourth and fifth causes of action, Plaintiffs do not allege facts negating the existence of an urgency in the Measure A Ordinance. While it is not clear how Plaintiffs will be able to amend to state a cause of action, the court will afford them an opportunity to do so as they have requested in opposition.

Consequently, the demurrer to the sixth cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

**<u>Disposition</u>**

The demurrer to the first, second, third, fourth, fifth, and sixth causes of action in the FAC is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

The court will prepare the Order.

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**Calendar line 9**
**Case Name:** ***Orchard Yield Funds, LLC vs. Park Capital Management, LLC***
**Case No.: 26CV485647**

**<u>Applicant Orchard Yield Funds, LLC's Application to Expel Respondent Park Capital Management, LLC pursuant to Corporations Code section 17706.02(e).</u>**

<u>Requests for Judicial Notice</u>

The Requests for Judicial Notice are GRANTED pursuant to Evidence Code section 452, subdivision (d), as to the existence, filing, and contents of the submitted court records and related filings. The Court does not take judicial notice of the truth of disputed factual assertions contained within those records. (Kilroy v. State of California (2004) 119 Cal.App.4th 140, 145; Joslin v. H.A.S. Ins. Brokerage (1986) 184 Cal.App.3d 369, 374.)

<u>Discussion</u>

Corporations Code section 17706.02(e) authorizes judicial expulsion of a member upon application by the limited liability company where the member has engaged in wrongful conduct materially affecting the company's activities, has willfully or persistently committed a material breach of duties owed to the company, or has engaged in conduct relating to the company's activities that makes it not reasonably practicable to carry on those activities with the person as a member.

The record reflects that Orchard Yield Funds, LLC ("OYFLLC") is owned and managed equally by Satya Chillara and Respondent Park Capital Management, LLC ("PCM"). OYFLLC serves as the general partner of Orchard Yield Fund I, LP, whose principal remaining activity concerns claims arising from its investment in Double L Ranches, LLC ("DLR").

Applicant has submitted evidence that PCM, through its managing member Adam McAfee, possessed financial interests in DLR and affiliated entities that were not fully disclosed to investors and that PCM thereafter opposed litigation against DLR and affiliated parties after initially supporting such litigation. Applicant further presents evidence that PCM continues to advocate positions adverse to the prosecution of claims that Applicant contends constitute the LLC's principal remaining business activity.

The Court need not resolve in this proceeding the ultimate merits of the underlying fraud allegations pending elsewhere. Nor does the Court make findings that all allegations of fraud, concealment, or self-dealing asserted by Applicant have been proven. Those issues remain the subject of separate litigation.

The present inquiry is whether the statutory grounds for judicial expulsion have been established.

The evidence demonstrates an ongoing and irreconcilable conflict between the LLC's two equal managers concerning the conduct of the company's affairs. The parties have engaged in competing efforts to remove one another from management. Significant company actions require joint participation, yet the managers fundamentally disagree regarding the prosecution of litigation that appears to constitute the company's primary remaining activity. The record further reflects disputes concerning authority to act on behalf of the company, the handling of company funds, and the management of litigation assets.

This showing exceeds mere interpersonal hostility or disagreement over business judgment. The evidence establishes a continuing conflict in which PCM's interests are materially adverse to positions being advanced on behalf of the entities it manages and demonstrates a resulting management deadlock that has impaired the company's ability to function.

The Court therefore finds that PCM has engaged in conduct relating to the company's activities that makes it not reasonably practicable to carry on those activities with PCM as a member within the meaning of Corporations Code section 17706.02(e). The Court further finds that Applicant has demonstrated a continuing conflict of interest sufficient to constitute a persistent breach of duties owed in connection with the management of the company's affairs.

Accordingly, the Application is GRANTED.

Park Capital Management, LLC is expelled as a member of Orchard Yield Funds, LLC pursuant to Corporations Code section 17706.02(e).

Applicant to prepare the final proposed order, accompanied by the necessary Form EFS-020, within 7 days of the hearing.

**- oo0oo –**